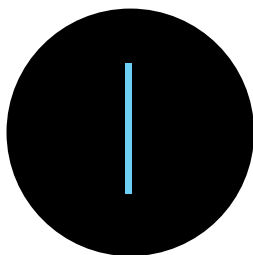




BY AMITABH CHAUDHRY

Banking can Spur India's Great Leap Forward

Several innovations are underway in India's banking sector. For India to leap forward in the next 25 years, banking needs to be reimaged



INDIA HAS HAD a relentless journey since it became an independent republic 75 years ago. Despite myriad challenges on the economic and social fronts, the country has managed to carve a path that has brought it to the threshold of a new economic golden age. One need not look too far into the past for proof on how resilient the country is. The 'Black Swan' event of the Covid-19 pandemic was a test of resilience

for all the economies of the world, but India stood out. Through its journey of trials and errors, hard decisions and visionary policies, India has emerged with a renewed sense of purpose, stability and devotion to inclusive progress.

From where we stand today, India is set to become a nation of around 1.64 billion people, and perhaps, the world's second-largest economy by 2050. Its GDP is estimated to touch \$20 trillion in the next 25 years from \$3.1 trillion currently with an annual per capita income of around \$10,000 at an average economic growth rate of 7-7.5 per cent. Nearly half of India's population will be living in urban areas, and use of technologies such as augmented reality,

blockchain, and artificial intelligence (AI), would have become normal. India can only move forward from here.

However, for India to achieve long-term growth, it will need to prioritise striking a balance between consumption and investment. A healthy mix of domestic and global savings and capital to optimise debt utilisation is an imperative. The country will also be required to improve its sovereign credit ratings. Although, its current BBB- rating is lower than what its macro fundamentals would warrant (since sovereign external debt is negligible), an improved rating would lower interest rates and the cost of capital for all enterprises.

Besides, states will have to be incentivised to carry out deeper reforms in agriculture, labour and electricity distribution. Also, access to anonymised but granular data will be immensely useful for private enterprises as well.

Over the next 25 years, policies formulated by the government will play a crucial role in getting the well-oiled Indian economic machinery running. Since infrastructure and finance are major enablers of economic growth, policymakers will need to build new institutions, create new markets and products with the purpose of raising long-term funds for infrastructure project finance. Domestic and offshore pension and insurance funds can also be tapped to finance infrastructure projects.

Also, one cannot lose sight of projects related to Environment, Social, and Governance (ESG), and Sustainable Development Goals. Currently, the regulatory frameworks, standards, and definitions around ESG are at a nascent stage, but as time progresses, these will be extremely important for investors.

One of the most watched developments in the finance space is the impending roll-out of Central Bank